

Sir Syed University of Engineering & Technology
Department of Computer Science & Information Technology



HS-411 - Entrepreneurship
Lecture No. 5

Business Model Frameworks

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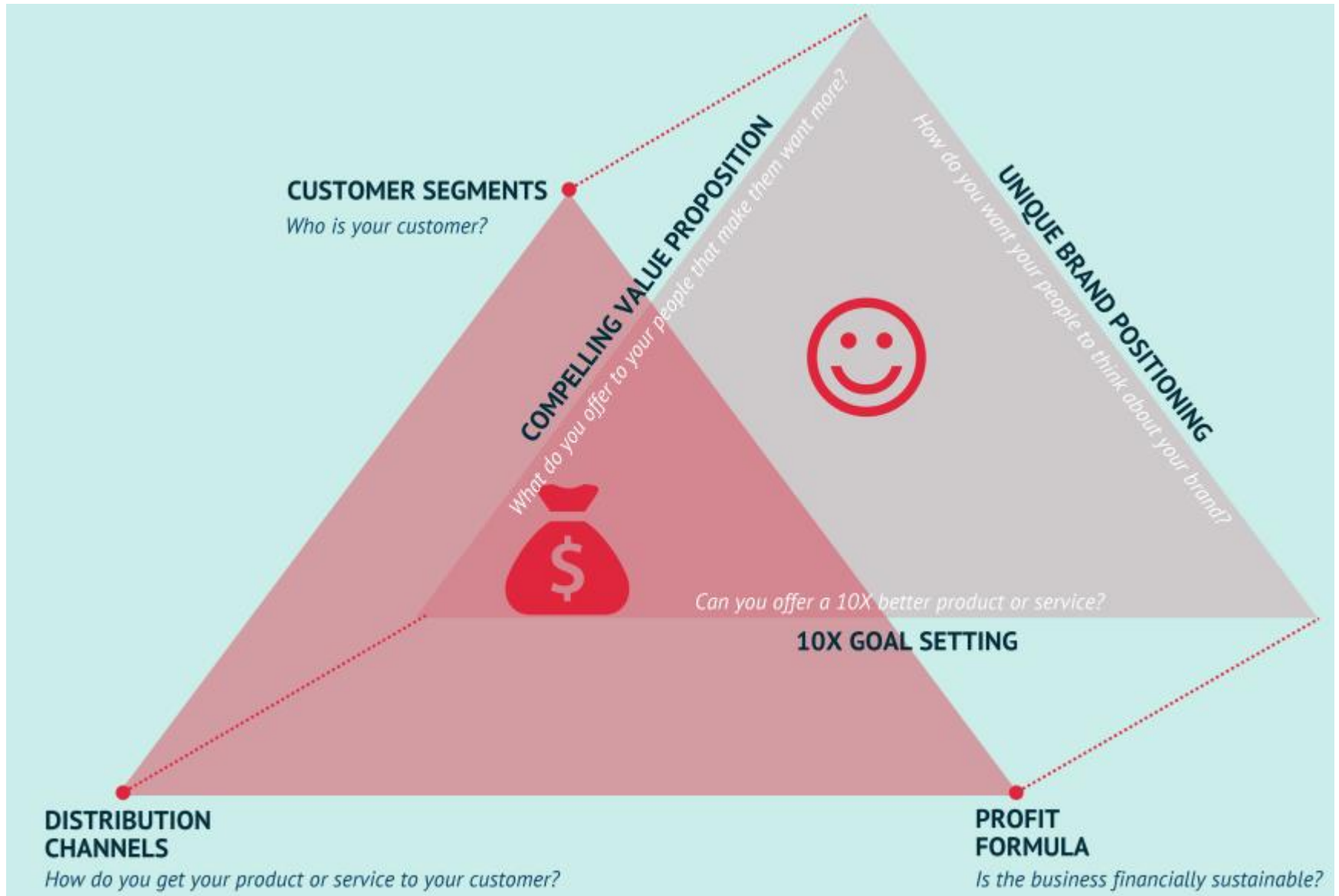
List of Topic to be Discuss in this lecture

1. What is Business Model?
2. VTDF Tech Business Model Framework
3. Business Model Canvas Framework
4. The Zomato Business Model (Case Study)

What is Business Model?

- A **business model** is a framework for finding a **systematic** way to unlock long-term **value** for an organization while delivering value to customers and capturing value through monetization strategies.
- A business model is a **holistic framework** to understand, design, and test your **business assumptions** in the marketplace.

What is Business Model?



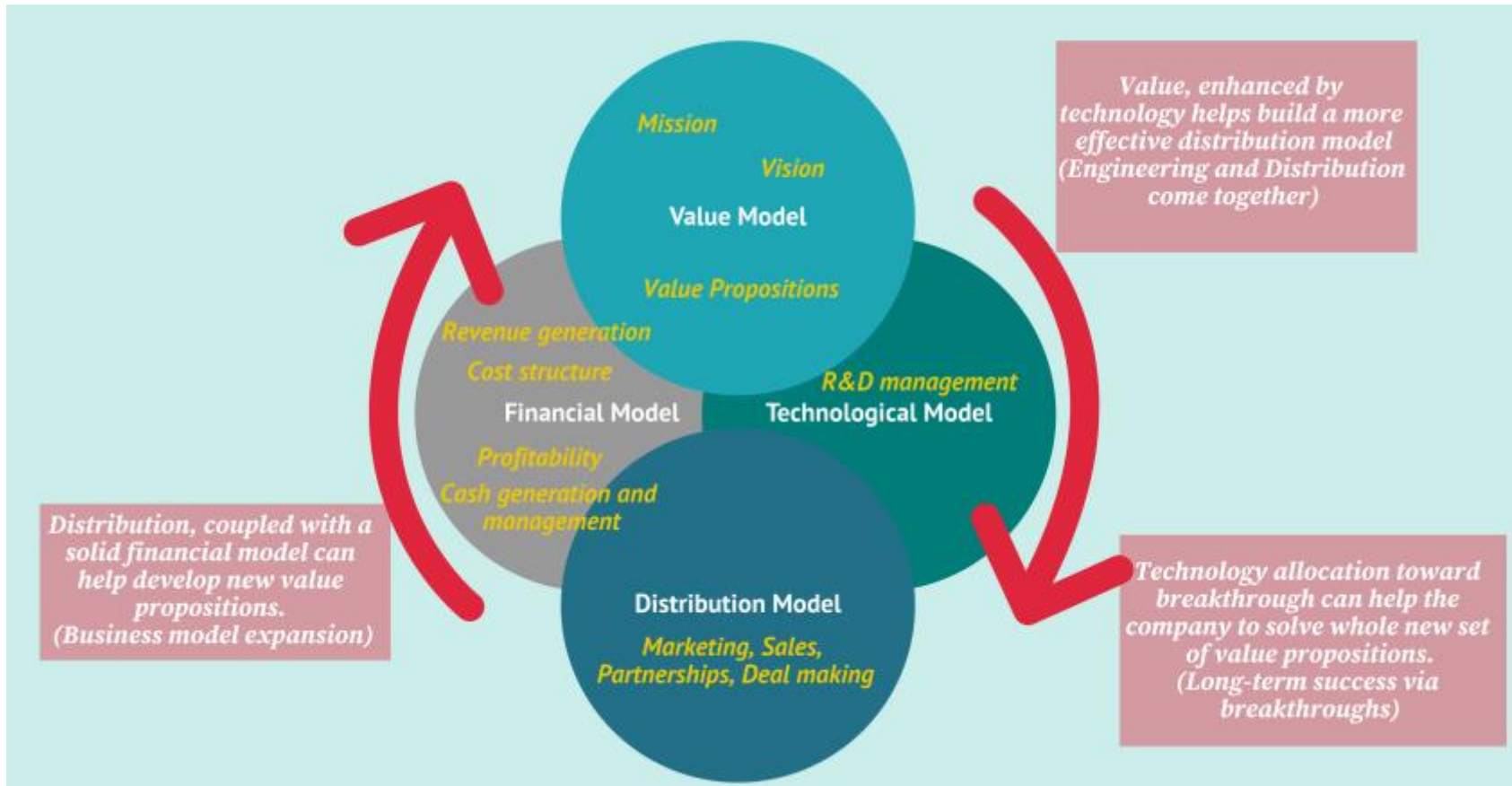
VTDF Tech Business Model Framework

A **tech business model** is made of **four** main components:

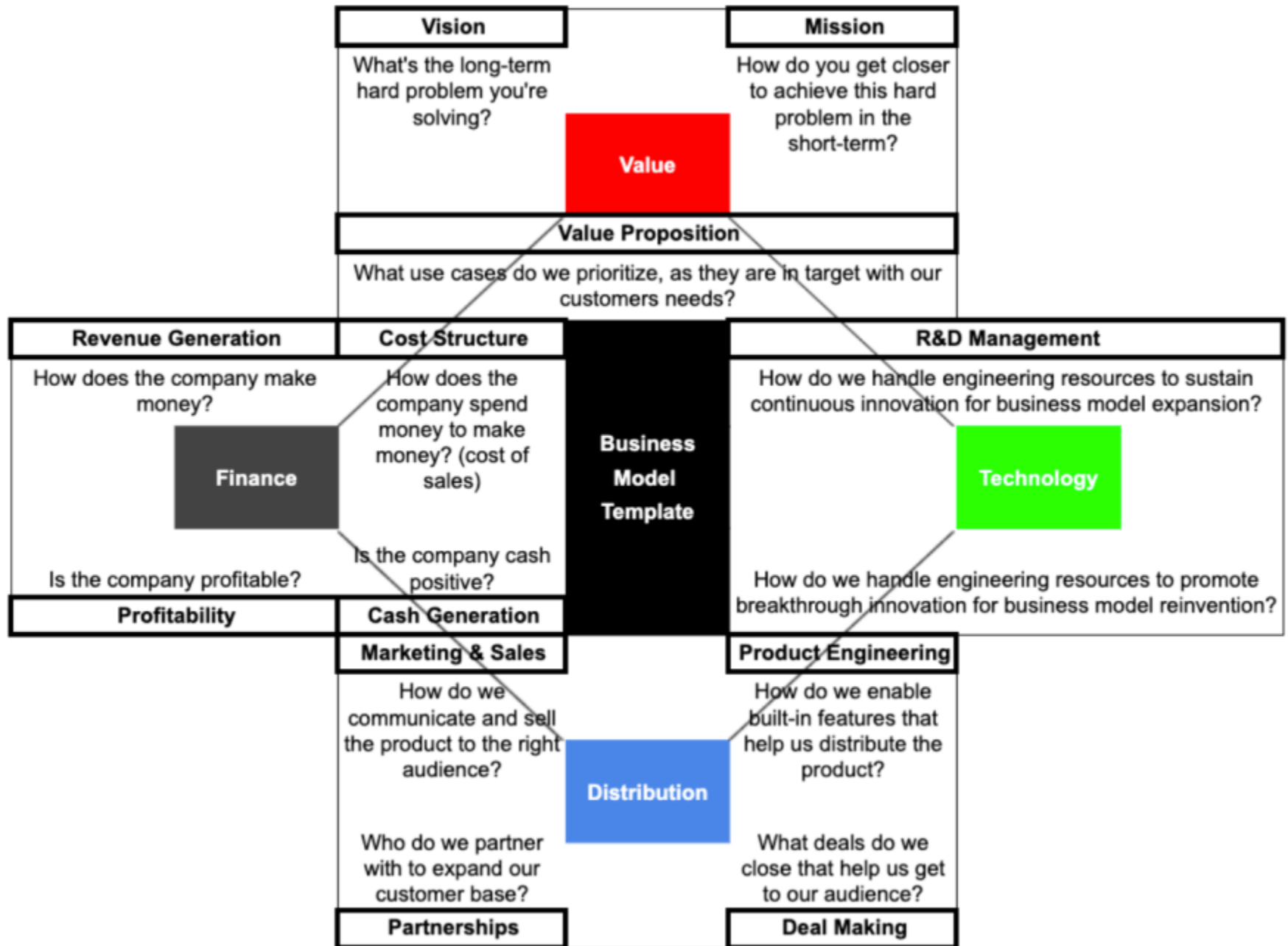
- ✓ **Value model** (value propositions, mission, vision)
- ✓ **Technological model** (R&D management)
- ✓ **Distribution model** (sales and marketing organizational structure)
- ✓ **Financial model** (revenue modeling, cost structure, profitability and cash generation/management)

Those elements coming together can serve as the basis to build a **solid tech business model**.

VTDF Tech Business Model Framework



VTDF Tech Business Model Framework



Business Model Canvas

The **business model canvas** is a **framework** proposed by Alexander Osterwalder and Yves Pigneur in Business Model Generation enabling the design of business models through **nine** building blocks comprising of following:

1. Customer Segments
2. Value Propositions
3. Channels
4. Customer Relationships
5. Revenue Streams
6. Key Resources
7. Key Activities
8. Key Partners
9. Cost Structure

Business Model Canvas Template

Key Partner	Key Activities	Value Proposition	Customer Relationship	Customer Segments
	Key Resources		Channels	
Cost Structure			Revenue Streams	

A Breakdown of Each Block along with An Example

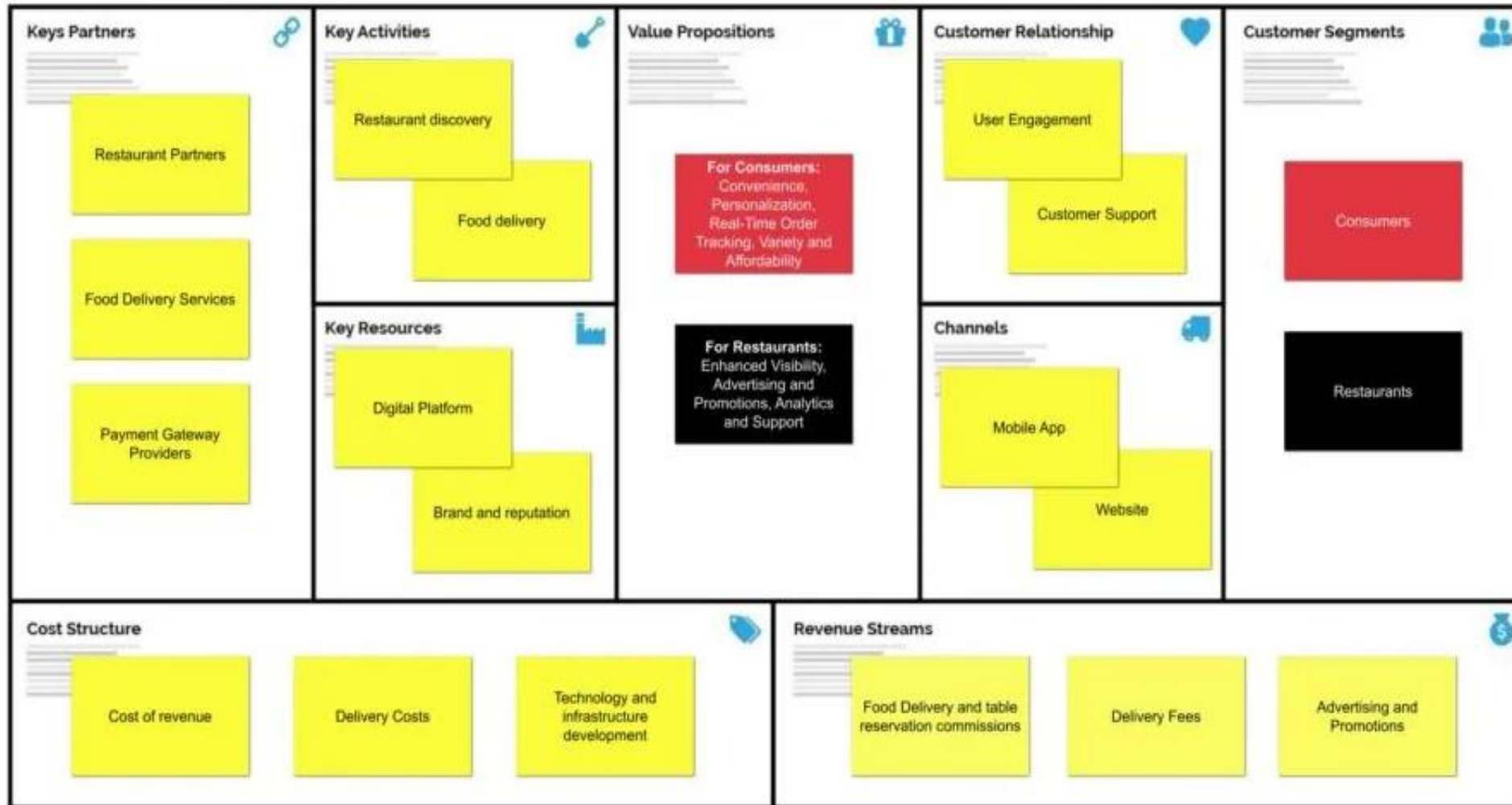
- ❑ **Customer Segments:** This block identifies the different groups of people or organizations a company aims to reach and serve. **Example:** A software company targeting both small businesses and large enterprises with its project management software.
- ❑ **Value Proposition:** This block outlines the products or services that fulfill the needs or solve the problems of the target customer segments. **Example:** A meal delivery service offering healthy, chef-prepared meals delivered to customers' doorsteps, saving them time and effort in cooking.
- ❑ **Channels:** This block represents the various ways a company reaches and interacts with its customers to deliver its value proposition. **Example:** An e-commerce platform utilizing its website, social media, and mobile app for customer acquisition and engagement.
- ❑ **Customer Relationships:** This block describes the types of relationships a company establishes with its customers to acquire, retain, and grow its customer base. **Example:** A subscription-based streaming service offering personalized recommendations and customer support to enhance user experience and loyalty.

Business Model Canvas

- ❑ **Revenue Streams:** This block outlines the sources of revenue generated by the company from each customer segment. ***Example:*** A mobile game company earning revenue through in-app purchases, ads, and subscriptions for premium features.
- ❑ **Key Resources:** This block identifies the essential assets required to deliver the value proposition and operate the business effectively. ***Example:*** A manufacturing company relies on skilled labor, machinery, and raw materials to produce its products.
- ❑ **Key Activities:** This block highlights the crucial tasks a company must perform to create and deliver its value proposition. ***Example:*** An online marketplace regularly updates its website, manages inventory, and facilitates transactions to ensure a seamless shopping experience for customers.
- ❑ **Key Partner:** This block describes the external relationships and collaborations necessary for the business to operate efficiently and deliver value. ***Example:*** A ride-hailing service partnering with vehicle manufacturers for fleet maintenance and insurance companies for driver coverage.
- ❑ **Cost Structure:** This block outlines the various costs incurred by the business to operate and sustain its activities. ***Example:*** A software-as-a-service (SaaS) company incurs costs such as research and development, hosting infrastructure, and customer support.

The Zomato Business Model (Case Study)

zomato - Business Model Canvas



The Zomato Business Model (Case Study)

Zomato Customer Segments

Zomato's customer segments consist of:

- **Consumers:** These are the people who use Zomato to find restaurants, read reviews, and order food. Zomato's consumers are typically young, urban, and tech-savvy. They are looking for convenience and variety when it comes to food, and they are willing to use online platforms to find it;
- **Restaurants:** These businesses list their menus and information on Zomato. Zomato's restaurants are typically small to medium-sized businesses that are looking to reach a wider audience. They benefit from Zomato's platform by getting more exposure and generating more orders.

Zomato Value Propositions

Zomato's value propositions consist of:

Value Propositions for Consumers

- **Convenience:** Zomato makes it easy to find restaurants, read reviews, and order food. Users can search for restaurants by cuisine, location, price, and other criteria. They can also read reviews from other users to help them decide where to eat. Once they have found a restaurant, they can place an order and track its progress in real time;
- **Personalization:** Zomato uses its user data to personalize the experience for each customer. This includes recommending restaurants that the user is likely to enjoy, as well as sending notifications about new restaurants and deals;
- **Real-Time Order Tracking:** Zomato's food delivery service offers a unique value proposition with real-time order tracking. Consumers can monitor their order's progress, from the restaurant kitchen to their doorstep. This transparency enhances trust and eliminates the uncertainty associated with food delivery;
- **Variety:** Zomato offers a wide variety of restaurants to choose from, including everything from local eateries to fine dining establishments. Users can find restaurants that serve their favorite cuisines, as well as new and exciting cuisines to try;
- **Affordability:** Zomato offers a variety of payment options, including cash, credit card, and debit card. Users can also find restaurants that offer discounts and promotions.

The Zomato Business Model (Case Study)

Value Propositions for Restaurants

- **Enhanced Visibility:** Zomato opens the doors to increased visibility in the digital age. The platform has over 100 million monthly active users, and it is available in over 24 countries. Restaurants can showcase their culinary creations to a vast and diverse audience, reaching potential customers who may have otherwise never discovered their establishment. With millions of users searching for restaurants on Zomato, it serves as a powerful marketing tool to attract new patrons.
- **Advertising and Promotions:** Restaurants can pay to have their listings featured prominently on the platform, run promotional campaigns, and offer special deals to attract customers. This additional exposure can lead to increased foot traffic and revenue.
- **Analytics:** Zomato provides restaurants with analytics data about their performance on the platform. This data can help restaurants understand their customers and improve their marketing and operations.
- **Support:** Zomato offers restaurant support with a variety of issues, such as customer service, payments, and logistics. This can help restaurants focus on their core operations.

The Zomato Business Model (Case Study)

Zomato Customer Relationships

Zomato's customer relationships consist of:

- User Engagement
- Customer Support
- Feedback Mechanisms
- Personalized user experiences
- Sustainability Initiatives
- Personalized user experiences
- Delivery partner relationships

Zomato Revenue Streams

Zomato's revenue streams consist of:

- Food Delivery and table reservation commissions
- Delivery Fees
- Advertising and Promotions
- Zomato Gold Subscription
- Data and Analytics

Zomato Key Resources

Zomato's key resources consist of:

- Digital Platform
- Brand and reputation
- User Base
- Restaurant Partners
- Delivery Fleet
- Technology Infrastructure
- Financial Resources
- Employee Talent

Zomato Channels

Zomato's channels include:

- Mobile App
- Website
- SMS and Email marketing
- Social media
- Customer Support Hotline
- Partnerships

The Zomato Business Model (Case Study)

Zomato Key Resources

Zomato's key resources consist of:

- Digital Platform
- Brand and reputation
- User Base
- Restaurant Partners
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- Financial Resources
- Employee Talent

Zomato Key Activities

Zomato's key activities consist of:

- Restaurant discovery
- Food delivery
- Customer support
- Marketing
- Data collection and analysis
- Technology development
- Partnership management

Zomato Key Partners

Zomato's key partners consist of:

- Restaurant Partners
- Food delivery services
- Payment Gateway Providers
- Technology partners
- Investors and Financial Partners
- Data and Analytics Partners

Zomato Cost Structure

Zomato's cost structure consists of:

- Cost of revenue
- Delivery Costs
- Technology and infrastructure development
- Staff Salaries and Benefits
- Rent and Office Expenses
- Legal and Regulatory Compliance
- Research and Development (R&D)
- Marketing and sales